

Identification Guidelines

[Table 2.1](#) shows identification guidelines for the chart pattern, and [Figure 2.2](#) shows a typical example. The pattern appears in the figure as ABCD.

Appearance. As I mentioned, the shape of the bearish AB=CD can look weird when point D is far from the ABC turns. The figure is an example of that asymmetry, but not an extreme one. Leg AB is 36 days long, so you might expect (or hope) the CD move to also be that long. It's not. CD is 66 days long or almost twice the AB duration. It'll be rare that leg CD matches the length of AB. Just because CD is almost twice as far away as AB doesn't mean the pattern is invalid. Rather, the turn is determined by the Fibonacci number used to located it.

[Table 2.1](#) Identification Guidelines

Characteristic	Discussion
Appearance	A three-leg zigzag pattern with two turns located by Fibonacci ratios.
BC/BA retrace	The ratio of BC/BA is one of .382, .5, .618, .707, .786, or .886.
DC/BC extension	The extension of leg DC to BC is one of the Fibonacci numbers: 1.13, 1.27, 1.41, 1.618, 2, 2.24, 2.618, or 3.14.
Hills and valleys	From A to B, there should be no valley lower than A and no peak higher than B. From B to C, there should be peak higher than B and no valley lower than C. From C to D, there should be no valley lower than C and no peak higher than D.
Volume	Trends downward most often. Don't ignore a pattern because of an unusual volume trend.
Duration	I limited patterns to 6 months, but this is an arbitrary limit I use for most chart patterns.